Wevois Labs Private Limited

Valuation Opinion

Presented by:
Dharmendra Takhatmal Dhelariya
Registered Valuer

8th February 2023

Kind Attn: Abhishek Gupta
Director
Wevois Labs Private Limited
293, Heera Nagar Jaipur, 293, Heera Nagar-A Jaipur,
Rajasthan - 302 021.

Dear Sir,

Sub: Estimation of fair value of equity shares of Wevois Labs Private Limited for the purpose of issue of Equity Share of the Company.

I, Dharmendra Takhatmal Dhelariya Registered Valuer having registration number IBBI/RV/06/2019/11555 (hereinafter referred to as 'Valuer' or 'Registered Valuer'), have been appointed by 'Wevois Labs Private Limited' (hereinafter referred to as 'WLPL' or 'Client') for Estimation of fair valuation of equity shares of 'Wevios Labs Private Limited' (hereinafter referred to as 'WLPL' or 'Company') for the purpose of issue of Equity Share of the company in accordance with provision of Section 62 and 42 of the Company Act 2013.

The valuation measurement date for my valuation exercise is 05th February 2023. The information required to form an opinion on fair value of equity shares of WLPL was collected from sources available at public domain in addition to the information provided by the WLPL.

In the attached report, I have summarized my Valuation Analysis of the shares together with the description of the methodologies used and limitations of my scope of work. The Valuation is not intended for general circulation or publication and is not to be reproduced without my prior written consent, or used for any purpose other than purpose stated herein this report and can not be relied upon by third parties. This report is to be read in totality, and not in parts, in conjunction with the relevant documents referred to therein.

I trust my report meets your requirements. Please feel free to contact me in case you require any additional information or clarification.

Dharmendra Takhatmal Dhelariya

Dharmendra T. Dhelariya

IBBI Registered Valuer (SFA)
Reg No – IBBI/RV/06/2019/11555
UDIN :23113346BGWONZ6451

Dharmendra Dhelariya IBBI/RV/06/ 2019/11555 Registered Valuer

Executive Summary

Dharmendra Takhatmal Dhelariya (Valuer) has been mandated by Wevois Labs Private Limited to provide the fair value of WLPL's Equity share as of 05th February 2023 ("the Valuation Date"). This Valuation Report presents my opinion, supporting analyses and assumptions, along with appropriate exhibits. Additional relevant information and analyses considered in my opinion have been retained in my work files. I understand that this valuation is required by Client for the purpose of issue of Equity Share of the company in accordance with provision of Section 62 and 42 of the Company Act 2013.

In the process of formulating my opinion of value, I held discussions with, and were provided various documents by WLPL. The Projected financial data and other records and documents pertaining to the company have been accepted without verification as proper representation of WLPL operations and condition.

Fair value is defined for the purpose of this analysis as "the amount for which an asset could be exchanged, or a liability settled, between knowledgeable, willing parties in an arm's length transaction".

Summary of fair value of WLPL's Equity share estimated by me is encapsulated in the table below:

(INR in Million)

Particulars	Value	Weights	Weighted Value
Income Approach			
Discounted Cash Flow Method	697.13	100%	697.13
Equity Value			697.13
Equity shares (in no's)			10,195.00
Total Equity Shareholder			**10,195.00**
Fair Value of Equity Value per share (in INR)			68,380.00

Hence, I have estimated the fair value of equity shares of WLPL to be INR 697.13 Million, i.e. per share value of INR 68,380/-.

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Executive Summary

For concluding the fair value of WLPL, I have considered following points which forms part of my valuation exercise:

1. Valuation can be based on Income Approach, Market Approach and Cost Approach.

2. In the Market Approach, the multiples like P/E multiple, P/B multiple are considered for the estimation of fair value and the stock prices needs to be considered as on the valuation date I.e. 05th February 2023 for the computation of these multiples. The potential comparable companies in the market does not exactly match with the area of operation and market segment of target company. Therefore, market approach has given weightage of **Nil.**

3. Cost Approach has not been considered due to historical data as it only represents the historical cost of the assets and fails to capture the Intrinsic worth of the company. Hence, we assign Zero weightage to Cost Approach.

4. Hence, for the present valuation exercise, I have based my valuation on Discounted Cash Flow Method (DCF) under Income Approach with weightage of 100%.

5. I have given 100% weightage to DCF Method under Income Approach and **NIL** weightage to Market Approach and Cost Approach as it represents income generation ability of an entity which is critical element affecting the value of company.

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2019/11555
Registered Valuer

CONTENT OF THIS REPORT

★ Dharmendra Dhelariya ★ IBBI/RV/06/ 2019/11555 Registered Valuer

Glossary of Terms and Abbreviations

Term	Definition
WLPL	Wevois Labs Private Limited
CAPM	Capital Assets Pricing Model
CSRP	Company Specific Risk Premium
DCF	Discounted Cash Flow
CCM	Comparable Companies Method
FCF	Free Cash Flows
FY	Financial Year
Mcap	Market Capitalisation
PE	Price to Earning Multiple
Rf	Risk Free Rate
Rm	Market Risk
TV	Terminal Value
Ke	Cost of Equity Capital
We	Weight of Equity Capital
SFAS:	Statement of Financial Accounting Standards
NFCF:	Net Free Cash Flows

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Terms of Reference

Scope, Limitations and Sources of Information

Scope of work

Valuer will, as requested by WLPL, conduct an independent valuation of WLPL as on valuation date, i.e. 05th February 2023, for the purpose of proposed issue of Equity Share in accordance with provision of Section 62 and 42 of the Company Act 2013. The valuation will be performed based on the valuation methods that valuer finds most appropriate.

This report and information contained herein are absolutely confidential and are intended for the use of Board of Directors of WLPL for providing selected information and only in connection with the purpose set out in the report as aforesaid. It should not be copied, disclosed, circulated, quoted or referred to, either in whole or in part, in correspondence or in discussion with any other person except to whom it is issued without my written consent.

In event, WLPL or its Board of Directors or its auditors extend the use of the report beyond the purpose mentioned earlier in this report, with or without my consent, I will not accept any responsibility to any other party to whom this report may be shown or may acquire a copy of this repor

Limitation Clause

The limiting conditions pertaining to the value conclusions stated in this document are summarized below.

1. To the best of my knowledge and belief, the statements of facts contained in this document, upon which the analysis and conclusions expressed are based, are true and correct. Information, estimates and opinions furnished to me and contained in this document or utilized in the formation of the value conclusions were obtained from sources considered reliable and believed to be true and correct. However, no representation, liability or warranty for the accuracy of such items is assumed by or imposed on me, and is subject to corrections, errors, omissions and withdrawal without notice.

2. The valuation may not be used in conjunction with any other appraisal or study. The value conclusions stated in this document are based on the program of utilization described in this document, and may not be separated into parts.

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Limitation Clause

3. No change of any item in any of this document shall be made by anyone other than valuer, and I shall have no responsibility for any such unauthorized change.

4. The work papers for this engagement are being retained in my files and are available for your reference. I would be available to support my valuation conclusions should this be required. Those services would be performed for an additional fee.

5. Neither all nor any part of the contents of this document shall be disseminated or referred to public through advertising, public relations, news or sales media, or any other public means of communication or referenced in any publication, including any private or public offerings, without the prior written consent and approval of and review by valuer.

6. I take no responsibility for any events, conditions or circumstances affecting my opinion of value that take place subsequent to the valuation date.

Limitation Clause

7. Good and marketable title to the business interests and assets being appraised is assumed. I am not qualified to render an "opinion of title," and no responsibility is assumed or accepted for matters of a legal nature affecting the business being appraised. No formal investigation of legal title to or liabilities against the business valued was made, and I render no opinion as to ownership of the business or condition of its title.

8. This valuation is based on prospective financial statements. Some assumptions or projections inevitably will not materialize and unanticipated events and circumstances which may occur during the forecast period. These could include major changes in the economic conditions; significant increases or decreases in current interest rates and/or terms or availability of financing altogether; and/or major revisions in current state and/or federal tax or regulatory laws. Therefore, the actual results achieved during the projected period and investor requirements relative to anticipated annual returns and overall yields could vary from the projection. Thus, variations could be material and have an impact on the value conclusions stated herein.

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Limitation Clause

9. Budgets/projections/forecasts relate to future events and are based on assumptions that may not remain valid for the whole of the relevant period. I express no opinion as to how closely the actual results will correspond to those projected/forecast by management.

10. I assume no responsibility and make no representations with respect to the accuracy or completeness of any information provided by and on behalf of management.

11. My work with respect to prospective financial information did not constitute an examination, compilation, or agreed upon procedures engagement of a financial forecast in accordance with standards established by the Institute of Chartered Accountants of India, and I do not express assurance of any kind on it.

12. I am not required to give testimony or be in attendance at any court or administrative proceeding with reference to the business appraised unless additional compensation is agreed to and prior arrangements have been made.

Sources of Information

The key information I have received and used in my value analysis include:

- Audited Financial Statement for FY 2020-21 & 2021-22
- Provisional Balance Sheet as on 05.02.2023
- Business plan along with the underlying assumptions for WLPL as prepared by the management over the period 31st March 2023 to 31st March 2027 ("Projected Period" or "Forecast Period"), which the Management believes to be their best estimate of the expected future operating results;
- Shareholding Pattern of the Company as on Valuation Date.
- Other information provided by the Management.
- In addition, I have obtained information through discussion and correspondence with the Management.
- I have also undertaken analysis of other facts and data considered pertinent to this value analysis.

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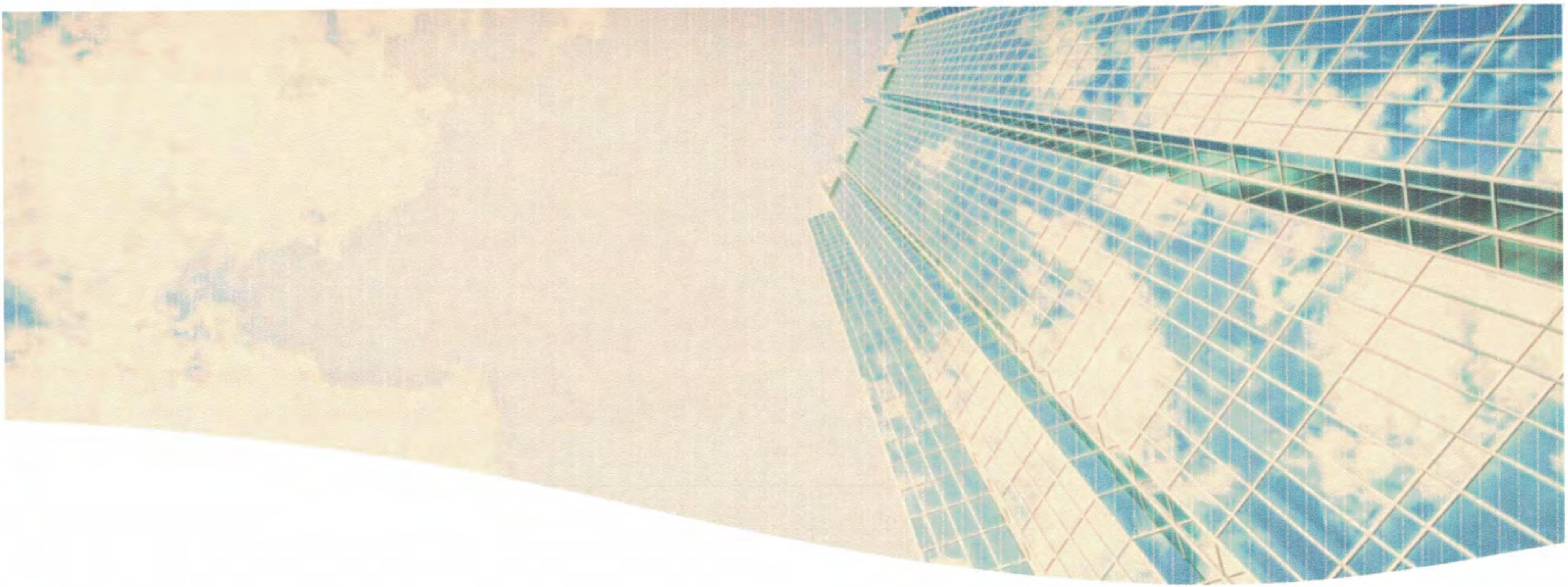

About the Company

Wevois Labs Private Limited

Company Overview

Wevois Labs Private Limited

Wevois Labs Private Limited is a Private Limited company, incorporated on 06th December 2018. The registered office of the company is situated at 293, Heeranagar - A, Jaipur, Rajasthan – 302 201.

The future of cleantech is changing in India. Macro developments such as urbanization, rapid growth, climate change, and depletion of resources continues to drive the need for investments in clean technologies. At the same time, promising industries are suddenly diminishing and new clean industries are coming onboard to drive the future growth for clean technologies.

India represents a key market for clean technology companies as it is investing billions in this sector. The objective of the Indian Government is to foster a second Green Revolution. The Indian environment market is estimated to be growing at 9 per cent per annum. The US and Western European countries are the leading source of imports of environmental technologies into India. Foreign Direct Investment (FDI) in environment equipment and services is allowed under the automatic route with up to 100 per cent foreign equity holding. Thus, the Indian market offers strong business prospects for foreign investors. India's growing economy and surging demand for clean power to strengthen energy security and reduce pollution, as well as ongoing sector reforms, is making India one of the most attractive destinations in the world for environmentally-friendly investments, as per an ADB report.

Cleantech is an emerging area in India and as such the focus has been sector-specific. For e.g., there are separate programmes and schemes targeted at individual sectors such as solar, wind, energy efficiency, etc. Each of the sectors are under the overall administrative jurisdiction of separate ministries at the central government level and their corresponding departments at the state government level. As a result there is no single unified financing mechanism for cleantech.

The present Board of Directors of the Company comprise of following :-

1. Abhinav Shekhar Vashistha,
2. Abhishek Gupta

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Company Overview

Wevois Labs Private Limited

WeVOIS Labs Pvt Ltd, a solid waste management company is here to make dream come true for a greener and cleaner tomorrow. Don't worry, they will take it from here. WPL are here with a promise to deliver! With a vision of circular economy WeVOIS is here to provide you with eco-friendly waste management solutions and superior services and to make sure that your trash is collected on time. WLPL complete automated IoT- based door to door waste collection solution is designed to improve efficient waste collection of the city all the while making our environment greener and communities cleaner. WLPL superheroes at WeVOIS work hard and skillfully day and night so that you can wake up to a greener and cleaner surrounding every morning with your favorite cup of coffee.

➢ Our Services

• Door to Door Waste Collection

WLPL at WeVOIS offer you with IoT enabled Door to Door waste collection services on primarily catering to municipal bodies responsible for managing waste. We believe in dealing with the problems of waste from its core and have developed domestic waste collection services to provide ease and convenience to their customers. With WLPL Smart Home Card placed outside humble abode WLPL make sure that our helpers reach your doorstep in a timely manner and make your experience with us neat and satisfying.

• Fleet Monitoring

WLPL have designed a route manager software that decides the optimum route for our helpers to reach your doorstep and provide on time service. A mobile app with a well-defined alert management system enables you to get notified every time before the scheduled pickup.

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Company Overview

- **<u>Material Recovery Facility</u>**

Majority of waste collected generally is dumped into the landfill sites thereby causing emission of harmful gases and thereby polluting the environment. To avoid the dumping of waste at landfill sites we at WeVOIS with the help of municipal bodies piloted a Materials Recovery Facility (MRF) that receives, separates and prepares recyclable materials and provides efficient segregation in Sikar, Rajasthan.

- **<u>User Charge Collection</u>**

Under SBM 2016 rule, every user has to pay user charges for Door to Door waste collection to municipal bodies and we help them to collect the user charges which helps us in providing sustainable operations and also in efficient service.

- **<u>Complete Solution for Circular Economy</u>**

For far too many years we have taken planet for granted and have been misusing our planet's resources without thinking about the future. WLPL at WeVOIS provide a complete solution for sustaining such resources by making products that are no longer in use into commodities that are useful. Majority of waste collected generally is dumped into the landfill sites thereby causing emission of harmful gases and thereby polluting the environment. To avoid the dumping of waste at landfill sites we at WeVOIS with the help of municipal bodies piloted a Materials Recovery Facility (MRF) that receives, separates and prepares recyclable materials and provides efficient segregation in Sikar, Rajasthan.

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Historical Financials

Overview of Historical Financial Statements

WeVOIS

Historical Financials – Balance Sheet

(INR in Million)

Particulars	Mar-21	Mar-22
Shareholder's Fund		
Share Capital	0.10	0.10
Retained Earnings	2.00	14.05
Total Shareholder's Fund	**2.10**	**14.15**
Non-Current Liability		
Long-Term Debt	5.16	6.93
Total Non-Current Liabilities	**5.16**	**6.93**
Current Liabilities		
Short-term borrowings	3.31	10.44
Trade Payables	9.55	8.76
Other Current Liabilities	0.34	0.70
Short-term provisions	0.53	1.33
Total Current Liabilities	**13.72**	**21.23**
Total	20.99	42.31
Non- Current Assets		
Property, Plant and Equipment - Tangible Assets	0.73	1.45
Intangible Assets	0.01	0.00
Financial Assets		
Non Current Investment	3.59	5.62
Deferred Tax Assets	0.06	0.10
Total Non-Current Assets	**4.39**	**7.17**
Current Assets		
Trade receivables	4.59	14.46
Cash and cash equivalents	4.76	4.70
Short-term Loans and advances	-	-
Other current assets	7.26	15.98
Total Current Assets	**16.60**	**35.13**
Total	20.99	42.31

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Historical Financials – Income Statement

(INR in Million)

Particulars	Mar-21	Mar-22
Revenue from Operations	**45.79**	**99.89**
Growth		
Expenditure		
Operating Cost	0.31	0.82
Employee Cost	17.87	34.89
Other Expenses	25.08	47.09
Total Expenses	**43.26**	**82.81**
Operation EBIDTA	**2.53**	**17.08**
Depreciation & Amortisation Expense	0.28	0.61
Finance Cost	0.40	1.92
Other Income	0.09	0.39
Profit Before Tax	1.94	14.95
Tax Expenses		
Current Tax Expense	0.58	2.95
Deferred Tax	-	-0.04
Profit/(Loss) for the period	1.36	12.04

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Projected Financials

Overview of Projected Financial Statement

WeVOIS

Projected Financials – Balance Sheet

A summary of Projected Balance Sheet of WLPL as on next Five Years is given below:

(INR in Million)

Particulars	March 23	Mar-24	Mar-25	Mar-26	Mar-27
Shareholder's Fund					
Share Capital	0.10	0.10	0.10	0.10	0.10
Retained Earnings	19.96	112.58	216.67	427.20	987.02
Total Shareholder's Fund	**20.06**	**112.68**	**216.77**	**427.30**	**987.12**
Non-Current Liability					
Long-Term Debt	5.00	4.00	2.50	1.50	-
Total Non-Current Liabilities	**5.00**	**4.00**	**2.50**	**1.50**	-
Current Liabilities					
Short-term borrowings	12.00	12.00	12.00	12.00	12.00
Trade Payables	9.75	17.98	35.55	72.14	161.99
Other Current Liabilities	1.00	1.50	1.75	1.80	2.00
Short-term provisions	1.50	2.50	3.00	3.20	3.35
Total Current Liabilities	**24.25**	**33.98**	**52.30**	**89.14**	**179.34**
Total	49.31	150.66	271.56	517.94	1,166.46
Non- Current Assets					
Property, Plant and Equipment - Tangible Assets	3.32	5.22	8.13	12.62	18.77
Intangible Assets	0.68	0.74	0.78	0.63	0.52
Financial Assets					
Non Current Investment	-	-	-	-	-
Deferred Tax Assets	0.10	0.10	0.10	0.10	0.10
Total Non-Current Assets	**4.10**	**6.06**	**9.01**	**13.35**	**19.38**
Current Assets					
Trade receivables	40.81	75.03	147.37	295.05	654.28
Cash and cash equivalents	3.18	68.36	113.96	208.32	491.58
Short-term Loans and advances	-	-	-	-	-
Other current assets	1.22	1.22	1.22	1.22	1.22
Total Current Assets	**45.21**	**144.61**	**262.55**	**504.59**	**1,147.08**
Total	49.31	150.67	271.56	517.94	1,166.46

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Projected Financials – Income Statement

A summary of Projected Profit and Loss Statement of WLPL as on Next Five Years is given below:

(INR in Million)

Particulars	Feb to March 23	Mar-24	Mar-25	Mar-26	Mar-27
Revenue from Operations	**65.95**	**484.40**	**929.98**	**1,839.36**	**3,960.04**
Growth	-33.98%	634.55%	91.98%	97.78%	115.29%
Expenditure					
Operating Cost	46.89	347.96	671.54	1,343.35	2,930.56
Employee Cost	8.35	77.03	113.09	191.40	310.91
Other Expenses	2.71	22.27	39.55	73.97	144.51
Total Expenses	**57.95**	**447.26**	**824.18**	**1,608.72**	**3,385.98**
Operation EBIDTA	8.00	37.14	105.80	230.64	574.06
As % of Revenue	12.12%	7.67%	11.38%	12.54%	14.50%
Depreciation & Amortisation Expense	0.12	1.16	1.72	2.36	3.47
Finance Cost	-	-	-	-	-
Other Income	-	-	-	-	-
Profit Before Tax	7.88	35.99	104.09	228.27	570.59
As % of Revenue	11.95%	7.43%	11.19%	12.41%	14.41%
Tax Expenses					
Current Tax Expense	1.97	9.00	26.02	57.07	142.65
Deferred Tax	-	-	-	-	-
Profit/(Loss) for the period	5.91	26.99	78.06	171.21	427.94

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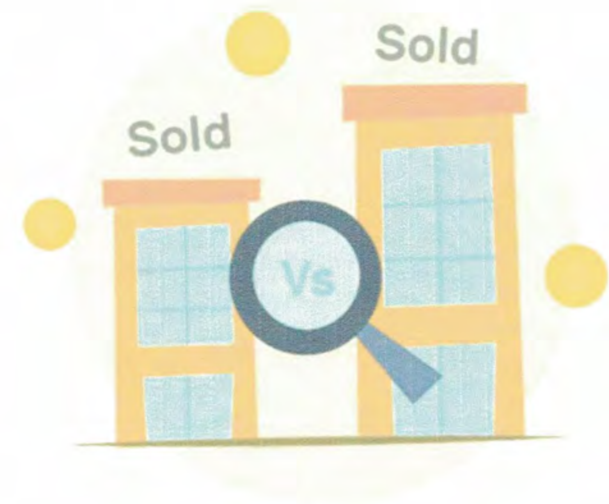
Asset-Based

Earning Value



Market Value

Valuation Methodology

General Valuation Approaches

WeVOIS

Valuation approaches and principal assumptions

The objective of the valuation process is to make a reasonable judgment of the value of the Company. The best reasonable judgment of the value can be referred as the "Fair Value".

Fair Value is defined in paragraph 5 of (Statement of Financial Accounting Standards) **SFAS No. 157**, Fair Value Measurements as 'the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date'.

Ind AS 113 defines Fair Value.
"Fair value is the amount for which an asset could be exchanged, or a liability settled, between knowledgeable, willing parties in an arm's length transaction."

There are number of methods & techniques used generally for valuation, however these methodologies fall under three basic approaches to valuation:

- ✦The Cost Approach
- ✦The Income Approach
- ✦The Market Approach

Cost Approach

- Book Value
- Realizable / Distress Sale Value
- Replacement Cost

Income Approach

- Discounted Cash Flow Method
- Excess Capitalization Method

Market Approach

- Comparable companies multiples
- Recent transaction method

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Cost Approach

'**Book value**' is considered in case where there is no significant movement either side, in the actual value of assets. Since it represents only the historic cost, it is generally not prudent to value a firm based on its book value.

'**Realizable value**' is considered in case where the valuation exercise is being carried out on an ordinary sale/distress sale basis. In other words, when the firm is likely to be sold or liquidated.

'**Replacement value**' and 'Present values' are considered for estimating the Fair Value of assets of a firm on a going concern basis.

Income Approach

Under a '**Discounted cash flow method**', the after-tax free cash flows that a business is expected to generate are projected over a specific forecast period. The projected cash flow, together with the terminal continuing value of the business at the end of the forecast period, are discounted at a rate commensurate with the risk of the business to the valuation date to give an overall value for the company.

'**Earning capitalization method**' looks at the earning potential based on historical and current financial information as well as industry norms, in order to normalise earnings for one year period as opposed to relying on number of years. Thereafter the normalised income is capitalised at a capitalisation rate. This method is ideal if the growth rate is expected to be flat or a very low growth rate.

Market Approach

'**Comparable Company multiples**' involves the comparison of the various operational metrics (ROE, ROCE etc.) and valuation multiples (EV/ EBIDTA, EV/ Sales etc.) of the listed peer companies to the subject Company for valuing the business.

'**Recent Transactions method**' estimates the value of an investment in a company based on recent transactions involving the subject company. Under this method, the price of the investment and/or the price at which a subsequent investment was transacted is used as a basis to determine the value of the business.

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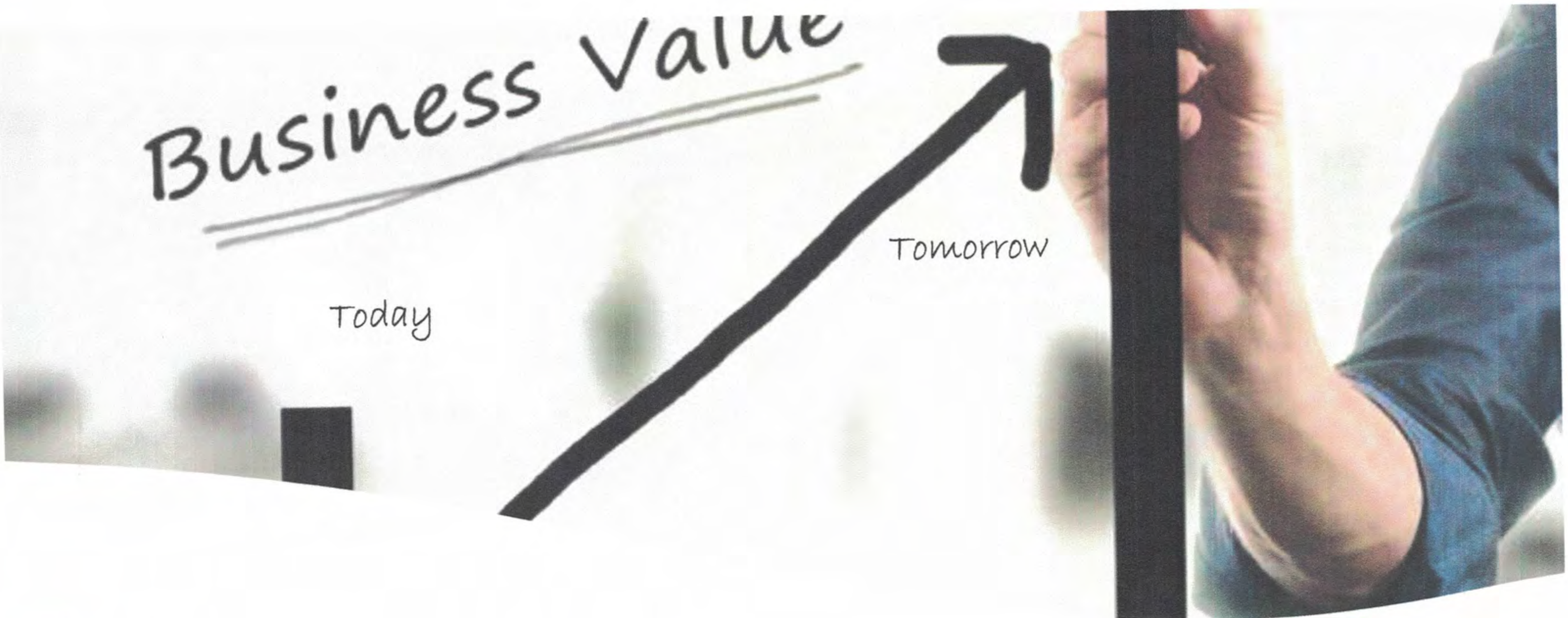

Valuation of WLPL

What's your business worth?

WeVOIS

Valuation of WLPL– Income Approach

I have conducted a DCF valuation analysis for WLPL based on its management forecasted business plan. Long-term consolidated management forecast FCF for the period from year ended 31st March 2023 to 31st March, 2027 were obtained from the Management Business Plan. I have discounted the FCF to present value using a WACC of 16.82%, which is the appropriate rate considering the timing and risk-level of the cash flows. Further, I have derived the Terminal Value to consider potential future growth of WLPL business beyond the explicit forecast period from year ended 31st March 2023 to 31st March, 2027. A terminal growth rate of 5% was assumed to reflect the growth beyond the Forecast Period.

Key inputs employed in my valuation exercise are presented below:

a) Estimation of Free Cash Flows to Equity:

Estimation of Net Free Cash Flows starts by estimating the cash generated through operations. Cash generated from operations is adjusted for the following:

i. Net increase & decrease in net working capital;

ii. Capital Expenditure (Capex)

Summary of NFCF for the explicit period has been provided hereinafter in this report.

b) Estimation of Appropriate Discount Rate:

The net free cash flows are thereafter discounted with an appropriate discount rate. The Discount Rate represents the weighted average return attributable to all of the assets of business.

- Under discounted cash flows method, I have applied WACC to compute the present value of future cash flows to the company. Hence, I have considered WACC as my discount rate.

- I have considered a company specific risk premium of 4.00% to factor in the additional risks on account of risk pertaining to achievement of significant growth in revenues and PAT margins during the projection period.

- Cost of Equity (Ke) is computed at 18.32% using CAPM (Capital Assets Pricing Model) and Cost of Debt (Kd) is 13.75%. The detailed computation is provided in **Appendix-A**.

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Valuation of WLPL– Income Approach

c) Estimation of present value of Net Free Cash Flows:

The present value of cash flows has been determined based on Net Free Cash Flows and the appropriate Discount Rate. I have assumed that the cash flows accrue to WLPL uniformly through the year, and have thus considered a mid-period discounting factor for this analysis.

The present value of net free cash flows for the explicit period is estimated at **INR 135.11 Million**.

d) Estimation of Terminal value:

The Company is being valued as a Going Concern and therefore, it is assumed that it will earn cash flows till Perpetuity. The value for the perpetual cash flows is estimated by capitalizing the future maintainable cash flows by an appropriate capitalization rate and then discounting it by an appropriate factor to determine the present value of perpetual cash flows.

I have estimated the Present Value of Terminal value at **INR 768.38 Million**.

Future maintainable cash flows:

The Adjusted Cash Flow for terminal year is INR 160.52 Million based on growth adjusted revenue. For estimating the Terminal Value, I have assumed a perpetuity growth rate of 5% in my terminal value calculations considering industry and macro economic factors. I have adjusted the Adjusted Cash Flows for Depreciation, Increase/ decrease in net working capital and Capital Expenditure. Based on the same the Present Value of Free Cash Flows are estimated at INR 90.79 Million. The same has been assumed as Future maintainable cash flows.

Appropriate Capitalization Rate:

The capitalization rate used to estimate the terminal value is generally based on the discount rate adjusted for expected long term Growth rate of the Business. The capitalization rate is therefore estimated at 11.82% (i.e. 16.82% - 5.00%).

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Valuation of WLPL– Income Approach

Computation of Discounted Cash Flows: -

(INR in Million)

Particulars		Feb 23 to March 23	Mar-24	Mar-25	Mar-26	Mar-27	Terminal
Revenue From Operations		65.95	484.40	929.98	1,839.36	3,960.04	4,158.04
Less: Operating Expenses		57.95	447.26	824.18	1,608.72	3,385.98	3,555.28
EBIDTA		**8.00**	**37.14**	**105.80**	**230.64**	**574.06**	**602.77**
Less: Interest		-	-	-	-	-	-
Less: Depreciation		0.12	1.16	1.72	2.36	3.47	3.64
EBT		**7.88**	**35.99**	**104.09**	**228.27**	**570.59**	**599.12**
Less: Tax Expenses		1.97	9.00	26.02	57.07	142.65	149.78
PAT		**5.91**	**26.99**	**78.06**	**171.21**	**427.94**	**449.34**
Add: Depreciation		0.12	1.16	1.72	2.36	3.47	3.64
Less: Incremental Net Working Capital		(8.57)	(24.49)	(54.03)	(110.83)	(269.04)	(282.49)
Less: Capex		(2.66)	(3.12)	(4.67)	(6.70)	(9.50)	(9.98)
Net Free Cash Flows		(5.21)	0.54	21.08	56.04	152.88	160.52
Present Value Factor	16.82%	0.99	0.90	0.77	0.66	0.57	0.57
		0.08	0.67	1.67	2.67	3.67	-
Present Value of NFCF		(5.14)	0.49	16.27	37.02	86.47	90.79

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Valuation of WLPL– Income Approach

e) Estimation of Fair value

After incorporating above explained inputs, I have concluded the Enterprise value of WLPL using DCF method at 697.13 INR Millions.

I have taken the liquidity discount (DLOM) of 20% on the value of WLPL as the Company is unlisted and there is a lack of marketability of shares of the Company.

Further, I have also adjusted value for Cash & Cash Equivalent of INR 8.67 Millions and Long term borrowings of INR 34.32 Millions respectively as on 05th February 2023 to arrive at the equity value.

Hence, I have concluded the fair value of equity shares of WLPL to be INR 697.13 Million. i.e. per share value of INR 68,380/-.

(INR in Million)

Sum of Present Value of Explicit Period (A)	135.11
Perpetual Cash Flow	90.79
Capitalization Rate	11.82%
Perpetuity Value (B)	768.38
Total Unadjusted Value (A+B)	**903.49**
Less: DLOM (20%)	180.70
Total Unadjusted Value	**722.79**
Adjustments For:	
Add: Cash & Cash Equivalents	8.67
Less: Long Term Borrowing	(34.32)
Equity Value	**697.13**
Number of Equity Shares (in no.'s)	10,195
Fair Value of Equity per share (INR)	**68,380.00**

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Valuation Conclusion

My opinion on value of WLPL

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Valuation exercise - Conclusion

In the ultimate analysis, valuation will have to be finalized/arrived at by the exercise of judicious discretion and judgment taking into account all the relevant factors. There will always be several factors, e.g. quality and integrity of the management, present and prospective competition, yield or securities and market sentiment etc. which are not evident from the face of the balance sheets but which will strongly influence the worth of a share.

In concluding on my Valuation exercise, it may be noted that my premise is fair value for the purpose of this engagement. "Fair Value is defined as the price which a business might reasonably be expected to fetch, in money or money's worth in an open market sale, between a willing buyer and a willing seller, both of whom are equally well informed about the business."

For the purpose of arriving at fair value, I have given 100% weightage to DCF Method under Income Approach and **NIL** weightage to Market Approach and Cost Approach as it represents income generation ability of an entity which is critical element affecting the value of company.

Hence, the fair value of equity shares of WLPL works out as shown in the table below:

(INR in Million)

Particulars	Value	Weights	Weighted Value
Income Approach			
Discounted Cash Flow Method	697.13	100%	697.13
Equity Value	697.13	100%	697.13
Equity shares (in no's)			10,195.00
Total Equity Shareholder			**10,195.00**
Fair Value of Equity Value per share (in INR)			68,380.00

Based on the above computation, I have estimated the fair value of equity shares of WLPL to be INR 697.13 Million, i.e. per share value of INR 68,380/-.

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Valuation exercise - Conclusion

Sensitive Analysis for DCF Method :

The exercise of valuation is not a precise science and the conclusions arrived at in many cases will be subjective and dependent on the exercise of individual judgment. While we have concluded on the reasonableness of the valuation of equity share based on the information available to us and within the scope and constraints of our engagement, others may have a different opinion as of the same.

Following Table shows Different Value of Equity may arriving due to Change in Rate of Discounting Factor and Growth of the company:

(INR in Million)

Discounting Factor %	Growth % 3%	4%	5%	6%	7%
14.82%	743.61	804.16	877.05	966.47	1078.78
15.82%	670.41	719.91	778.56	849.17	935.80
16.82%	608.15	649.17	697.13	753.97	822.38
17.82%	554.60	588.99	628.75	675.24	730.33
18.82%	508.11	537.23	570.57	609.12	654.19

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Appendices

Find out more

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Appendix A: Discount Rate Computation

Discount Rate Computation for WLPL:

Particulars	Range	Weight	WACC	Source
Risk free rate as at 27th January 2023	7.39%			Indian Government 10 year bond rate
Equity risk premium	5.87%			Based on Last 10 Yrs Market Return S&P 500
Unlevered Beta	1.18			Study on Environmental & Waste Services by Prof. Damodaran
Company Specific Risk Premium	4%			Based on Valuer Judgement
Cost of Equity	18.32%	0.67	12.30%	Detailed computation hereinafter in this report.
Cost of Debt (Post Tax)	13.75%	0.33	4.52%	
Total WACC		1.00	16.82%	
Growth rate	5%			Based on management discussion
Capitalisation rate	11.82%			

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Weighted Average Cost of Capital (WACC)

Cost of Equity

The cost of equity is generally calculated using the Capital Asset Pricing Model (hereinafter "CAPM"). The CAPM is widely accepted academically and states that the expected return on a stock is the sum of the risk-free interest rate and a premium in relation to the company's undiversifiable risk. The latter is equal to the product of the stock's beta and the market risk premium.

In the context of this report, I have applied an adjusted CAPM, considering a company specific risk premium in addition to the standard parameters of CAPM.

The following formula was used:

$$\mathbf{Re} = Rf + \beta * (Rm - Rf) + CSRP$$

Where:

- Rf: Nominal risk-free rate of return;
- β: Beta, measure of the systematic risk;
- (Rm – Rf): Market Risk Premium;
- CSRP: Company Specific Risk Premium.

Risk free rate: I have utilized Bond rates backed by the Indian Government, which reflect a minimal level of risk. In estimating a security's expected return, I typically seek a cost to be applied to cash flows projected for many years. The inflation premium incorporated into a security's normal return is the rate of inflation expected by the market over the life of the security. Thus, to estimate the normal return that is expected over a long-term period, I have used the 10 year generic government bond rate, which reflects the real interest rate at a point in time and the market's long-term inflation forecast. The yield to maturity on 10 year generic Government Bonds was 7.39% and therefore, same has been considered as the risk-free rate of return.

Market Risk Premium: The opportunity cost to the capital provider equals the rate of return the capital provider expects to earn over and above the risk free rate. I have taken the market risk premium at 5.87% of Indian market based on last 10 year market return S&P 500.

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Weighted Average Cost of Capital (WACC)

Beta: Beta provides a measure of the tendency of a security's return to move with the overall market's return. For example, a security with a beta of 1.0 tends to rise and fall by the same percentage as the market. Thus, "β = 1.0" indicates an average level of systematic risk. Securities with a beta greater than 1.0 tend, on average to rise and fall by a greater percentage than the market. Likewise, a security with a beta less than 1.0 has a low level of systematic risk and is therefore less sensitive to changes in the market. Based on Study of Prof. Damodaran, we take Environmental & Waste Services Industry has Beta **1.18.**

Company Specific Risk Premium: The risk premium for unsystematic risk attributable to the subject company is designed to account for additional risk factors specific to the Company. This is a very subjective exercise and therefore views of two people may differ. However this exercise gives an insight view about the specific risk of the subject company and accordingly makes an effort to estimate an additional return required by an investor for such risk. I have estimated 4.00% additional return required on account of company specific risk premium.

Computation of Re:

Cost of Equity (Ke)

$$Ke = 7.39\% + (1.18 * 5.87\%) + 4.00\%$$
$$Ke = 18.32\%$$

Cost of Debt (Kd)

Average Interest rate of the company on the long term debt is 18.33% (pre Tax)

$$Kd = I\ (1-t)$$

Where:

- I: Average Interest Rate
- t: Tax Rate

Tax Rate: Tax rate of the company assume to be 25%.

Computation of Kd

$$Kd = 18.33\%\ (1-0.25) = 13.75\%$$

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Shareholding as on Valuation Date 05.02.2023

Sr No.	Name of Shareholder	Number of Shares	Percentage
1.	Abhishek Gupta	4213	41.32%
2.	Raj Kumari Gupta	1563	15.33%
3.	Chandan Garg	500	4.90%
4.	Kunal Rajendra Mehta	11	0.11%
5.	Abhinav Shekher Vashistha	3419	33.54%
6.	Bharat Shekher Vashistha	200	1.96%
7.	Kamal Kumar Verma	16	0.16%
8.	Rajendra Lora	22	0.22%
9.	Singhvi Heritage LLP	56	0.55%
10.	Innovana Thinklabs Limited	195	1.91%
	Total	**10,195**	**100%**

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THANK YOU

Presented by:

Dharmendra Takhatmal Dhelariya
Registered Valuer of Securities or Financial Assets
Reg No – IBBI/RV/06/2019/11555
Address: A/201, Suryadeep Tower, Near Navneet Prakashan, Gurukul Road, Memnagar, Ahmadabad , Gujarat - 380052